

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

03rd November 2015

Subject SA5 – Finance

Time allowed: Three hours (14.45* - 18.00 Hrs)

Total Marks: 100

INSTRUCTIONS TO THE CANDIDATES

1. *Please read the instructions on the front page of answer booklet and instructions to examinees sent along with hall ticket carefully and follow without exception.*
2. ** You have 15 minutes at the start of the examination in which you are required to read the questions. You are strongly encouraged to use this time for reading only, but notes may be made. You then have three hours to complete the paper.*
3. *You must not start writing your answers in the answer sheet until instructed to do so by the supervisor.*
4. *The answers are expected to be India Specific application for the syllabus and corresponding core reading. However, substantially the core reading material is still taken from material supplied by Actuarial Education Company which is meant for UK Fellowship examination. The core reading also contains some material which is India Specific, mostly the IRDA regulation. In view of this, it should be noted that focal point of answers is expected to be India Specific application. However if application specific to any other country is quoted in the answer the candidate should answer the question with reference to Indian environment.*
5. *Attempt all questions, beginning your answer to each question on a separate sheet.*
6. *Mark allocations are shown in brackets.*
7. *Please check if you have received complete Question Paper and no page is missing. If so, kindly get new set of Question Paper from the Invigilator.*

AT THE END OF THE EXAMINATION

Please return your answer book and this question paper to the supervisor separately.

- Q. 1)** In a large cricket crazy country, Indus, the Cricket establishment has started National Cricket League (NCL) to develop club level cricket in the country. They have established initially twelve teams. One of the teams is owned by Kare Industries Limited [KIL]-large listed industrial conglomerate of the country with major interests in oil exploration. This team is known as Royal Kings (RK). The RK is owned by a separate company called Royal Kings Ltd (RKL) with a paid-up capital of Rs. 500 Crores.

After a couple of years, the owners of RK are planning to strengthen the team and construct its own stadium. The stadium would be used primarily to host matches played by the RK team; and during other times the stadium will be rented out to earn revenues. When it hosts the matches of other teams in its stadium, it would get 60% of the ticket sales and 40% of the advertisement revenues from that match.

The owners are contemplating to raise the finances to fund the construction of the stadium as well as to acquire more established players which would cost them substantial sums.

- i)** Briefly describe the various forms in which the RKL can raise the money; and the advantages and disadvantages of these sources of finance? (12)

After evaluating all the options, the Board has decided to raise funds by securitizing the future ticket sales & advertising revenues.

- ii)** Briefly describe the securitization structure (4)

The Board has asked you to provide a detailed report on the key steps involved in order to raise the required funds through the securitization process successfully

- iii)** Discuss in detail the steps involved including a description of the key risks from the standpoint of the investors; and your suggestions for mitigating the same (12)

The majority shareholder of KIL, Mrs. J, has evinced interest in Cricket administration and has been elected as a key functionary of the Country's Cricket Management Council.

- iv)** Describe briefly the conflicts of interests involved given that KIL owns the team of RK and what options Mrs. J has to address these conflicts (6)

KIL is cash rich; and it has been exploring the options to grow inorganically by acquiring medium sized companies in the field of oil exploration. Such an opportunity has arisen in an oil rich developing country where a domestic oil exploring company (ABC Ltd) is scouting for a possible acquirer.

- v)** Discuss the advantages and disadvantages of this acquisition from the standpoints of KIL and ABC Limited (8)

- vi)** The shareholders of KIL-particularly the institutional shareholders who have a 40% equity stake-are not favorably disposed towards the proposed acquisition. Outline the possible rationale for the reaction of the shareholders. (3)

Under the revised Companies Act in the country of Indus, the consolidated annual reports of all listed companies need to have section on disclosures related to corporate governance.

- vii)** Discuss the disclosures related to corporate governance which need to be included in the consolidated annual report of KIL. (10)
[55]

Q. 2) A mid-sized domestic general insurance company " Humara Vaada Insurance " with a rating of A – has decided to set up operation in Thailand " Khun Thai " and sell motor insurance in the market.

- i)** Humara Vaada wants to estimate an appropriate level of risk based capital for the new operation. Describe the bottom-up approach for estimating the risk capital including the major challenges that will be faced in using this approach in this context (12)

The Thai regulator has insisted to seek a minimum credit rating of AA for the local Thai company before granting the license to do business in Thailand. You are hired as a consultant to advise the management and board of the domestic company.

- ii)** Prepare a report outlining the approach which you believe the company should take to secure this rating including the issues which the domestic company must consider in this context (10)

Humara Vaada proposed to raise debt in domestic currency and use that for funding its equity investment in Khun Thai.

The domestic regulator is concerned about ERM model for Humara Vaada post the launch of Khun Thai and has asked them to get the model validated by an independent risk consulting firm which has the relevant expertise.

- iii)** Assuming that you are the consultant leading this engagement, discuss the steps you will take for validating the model. (7)

- iv)** The domestic country uses VaR as the measure of risk based capital but the Thai regulator uses TVAR as the measure of the risk based capital. Discuss the differences between the two measures; and the financial impact of using TVaR from the standpoint of Humara Vaada Insurance Company. (6)

Assume that Khun Thai started operations and three years have gone by.

Khun Thai is experiencing very high loss ratios and the company has been making losses for the last 3 years. Lenders of Humara Vaada are worried and are now asking for some sort of security.

- v)** Discuss the alternative courses of action including financial contracting alternatives available to Humara Vaada for addressing this concern and the issues involved in using these alternatives. (10)
[45]
